



CO-OPERATIVE
BANK OF KENYA

The Co-operative Bank of Kenya Limited
Co-operative Bank House
Haile Selassie Avenue
P. O. Box 48231 - 00100 GPO, Nairobi
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15th May 2014

The Chief Executive
Nairobi Securities Exchange
Nation Centre
Kimathi Street
Nairobi

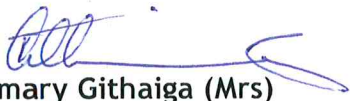
Dear Sir,

RE: THE CO-OPERATIVE BANK OF KENYA LIMITED
GROUP FINANCIAL RESULTS FOR THE 1ST QUARTER
ENDED 31ST MARCH 2014

Enclosed please find:-

- a. The unaudited financial statements of the Co-operative Bank Group for the 1st Quarter ended 31st March 2014, together with the disclosures on earnings per share.
- b. The statement on cash flows, and changes in equity for the same period.

Yours faithfully,


Rosemary Githaiga (Mrs)
COMPANY SECRETARY

Encl.

Chief Executive Officer
Capital Markets Authority
Embankment Plaza
3rd Floor, Longonot Road
Upper Hill
Nairobi

-With copies of the above attached.

The Board of Directors are pleased to announce the Un-audited results of the Group and the Bank for the Period ended 31 March 2014



I	STATEMENT OF FINANCIAL POSITION	GROUP			BANK		
		31-Mar-14 KSHS.'000 (Un-audited)	31-Dec-13 KSHS.'000 Audited	31-Mar-13 KSHS.'000 (Un-audited)	31-Mar-14 KSHS.'000 (Un-audited)	31-Dec-13 KSHS.'000 Audited	31-Mar-13 KSHS.'000 (Un-audited)
A	ASSETS						
1	Cash (local and foreign)	7,040,644	9,196,193	6,607,918	6,623,163	8,908,316	6,396,503
2	Balances due from Central Bank Of Kenya	13,086,638	11,516,976	12,816,266	11,601,889	10,388,172	12,816,266
3	Kenya Government and other securities held for dealing purposes	30,009	30,009	30,009	30,009	30,009	30,009
4	Financial Assets at fair value through profit and loss	500	557	50,449	500	501	50,449
5.a.a	Investment Securities: Held to Maturity- Kenya Government Securities	17,266,903	13,983,393	4,545,934	17,057,791	13,820,482	4,384,332
a.b	Investment Securities: Held to Maturity- Other Securities	-	45,000	-	-	-	-
b.a	Investment Securities: Available for Sale- Kenya Government Securities	20,412,869	19,560,640	22,112,615	20,412,869	19,560,640	22,112,615
b.b	Investment Securities: Available for Sale- Other Securities	5,630,544	5,746,273	5,828,461	5,630,544	5,746,273	5,828,461
6	Deposits and balances due from local banking institutions	4,022,659	2,968,294	6,854,371	4,022,659	3,003,578	6,854,371
7	Deposits and balances due from banking institutions abroad	4,659,220	7,072,622	7,192,670	4,649,009	7,053,215	7,192,670
8	Tax recoverable	335	97,029	-	-	99,631	-
9	Loans and advances to customers (net)	154,648,317	137,087,227	119,107,304	154,597,026	137,051,537	119,107,304
10	Balances due from banking institutions in the group	-	-	-	-	109,379	-
11	Investments in associates	1,838,817	1,688,888	1,518,148	755,118	755,118	755,118
12	Investments in subsidiary companies	-	-	-	1,748,494	1,748,494	240,000
13	Investment in joint ventures	-	-	-	-	-	-
14	Investment in properties	-	-	-	-	-	-
15	Property, plant and equipment	9,732,657	11,447,430	8,877,806	8,947,316	10,641,897	8,872,056
16	Prepaid lease rentals	38,180	38,180	38,863	38,180	38,180	38,863
17	Intangible assets	2,810,038	1,616,772	2,114,083	2,558,341	1,094,514	1,861,745
18	Deferred tax asset	66,554	66,658	9,916	56,113	56,113	-
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	6,034,274	9,053,219	7,605,499	5,344,600	8,768,434	7,490,513
21	TOTAL ASSETS	247,319,159	231,215,359	205,310,311	244,073,622	228,874,484	204,031,274
B	LIABILITIES						
22	Balances due to Central Bank Of Kenya	-	-	-	-	-	-
23	Customer deposits	187,165,735	175,425,121	162,210,361	185,904,735.43	174,776,225	162,210,361
24	Deposits and balances due to local banking institutions	4,448,278	5,462,337	1,820,297	4,448,278.49	5,462,337	1,820,297
25	Deposits and balances due to banking institutions abroad	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	12,748,453	10,252,392	4,409,127	12,748,452.55	10,252,392	4,409,127
28	Balances due to banking institutions in the group	-	-	-	-	-	-
29	Tax payable	897,999	-	589,840	887,802	-	581,042
30	Dividends payable	-	-	-	-	-	-
31	Deferred tax liability	-	-	175,713	-	-	175,713
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	1,475,791	2,937,252	4,520,041	1,200,360	2,731,485	4,398,881
34	TOTAL LIABILITIES	206,736,256	194,077,101	173,725,378	205,189,629	193,222,439	173,595,420
C	SHAREHOLDERS' FUNDS						
35	Paid up/Assigned capital	4,190,844	4,190,844	4,190,844	4,190,844	4,190,844	4,190,844
36	Share premium/(discount)	3,588,262	3,588,262	3,588,262	3,588,262	3,588,262	3,588,262
37	Revaluation reserve	407,035	460,752	416,106	407,035	407,035	416,106
38	Retained earnings/ Accumulated losses	29,003,382	26,409,433	22,178,481	27,658,204	25,354,077	21,159,536
39	Statutory Loan Loss Reserve	717,844	718,026	451,784	717,844	717,844	451,784
40	Other Reserves	(323,267)	(1,243,357)	(2,040,815)	(323,267)	(1,255,707)	(2,040,815)
41	Proposed dividends	2,095,422	2,095,422	2,095,422	2,095,422	2,095,422	2,095,422
42	Capital grants	549,649	554,268	574,715	549,649	554,268	574,715
43	TOTAL SHAREHOLDERS' FUNDS	40,229,172	36,773,649	31,454,799	38,883,993	35,652,045	30,435,853
43.1	Non-Controlling Interest	353,732	364,608	130,134	-	-	-
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	247,319,160	231,215,359	205,310,311	244,073,622	228,874,484	204,031,274

II	STATEMENT OF COMPREHENSIVE INCOME	31-Mar-14	31-Dec-13	31-Mar-13	31-Mar-14	31-Dec-13	31-Mar-13
		KSHS,'000	KSHS,'000	KSHS,'000	KSHS,'000	KSHS,'000	KSHS,'000
		(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)
1.0	INTEREST INCOME						
1.1	Loans and advances	5,477,944	20,045,346	4,849,986	5,475,008	20,044,538	4,849,986
1.2	Government securities	1,092,487	4,126,061	873,679	1,085,084	4,107,495	869,256
1.3	Deposits and placements with banking Institutions	79,201	370,318	120,691	79,201	358,889	120,691
1.1	Other Interest Income	-	-	-	-	-	-
1.5	Total Interest Income	6,649,632	24,541,725	5,844,356	6,639,293	24,510,922	5,839,933
2.0	INTEREST EXPENSE						
2.1	Customer deposits	1,594,528	5,103,060	1,338,641	1,594,520	5,103,054	1,338,641
2.2	Deposits and placements from banking institutions	15,300	146,220	26,725	15,300	146,220	26,725
2.3	Other Interest Expenses	221,456	666,535	163,886	221,456	666,535	163,886
2.4	Total Interest Expenses	1,831,284	5,915,815	1,529,251	1,831,275	5,915,809	1,529,251
3	NET INTEREST INCOME/(LOSS)	4,818,348	18,625,910	4,315,105	4,808,017	18,595,113	4,310,682
4	NON- OPERATING INCOME						
4.1	Fees and commissions on loans and advances	494,650	1,935,527	361,540	494,650	1,935,527	361,540
4.2	Other Fees and commissions	1,441,624	5,225,451	1,217,219	1,346,068	4,894,638	1,160,498
4.3	Foreign exchange trading income/(loss)	447,614	1,471,977	343,534	327,484	1,443,649	343,534
4.4	Dividend income	-	53,551	-	-	53,551	-
4.5	Other income	276,152	577,386	280,534	209,686	625,615	275,548
4.6	Total Non-interest income	2,660,039	9,263,893	2,202,828	2,377,888	8,952,980	2,141,120
5.0	TOTAL OPERATING INCOME	7,478,387	27,889,803	6,517,933	7,185,905	27,548,093	6,451,802
6.0	OTHER OPERATING EXPENSES						
6.1	Loan loss provision	150,561	778,157	200,501	150,561	773,291	200,501
6.2	Staff costs	1,893,893	8,013,780	1,520,738	1,799,912	7,825,352	1,499,191
6.3	Directors' emoluments	18,844	131,734	14,779	11,086	110,274	10,068
6.4	Rentals charges	308,310	1,123,891	224,906	276,284	1,062,895	222,655
6.5	Depreciation charge on property and equipment	494,888	1,528,961	343,442	454,428	1,514,249	342,378
6.6	Armortisation charges	72,113	178,812	33,976	72,113	176,176	33,779
6.7	Other operating expenses	1,221,289	5,627,393	1,115,283	1,129,911	5,380,400	1,102,932
6.8	Total other operating expenses	4,159,898	17,382,727	3,453,627	3,894,295	16,842,637	3,411,504
7	Profit/(Loss) before tax and exceptional items	3,318,488	10,507,075	3,064,306	3,291,610	10,705,457	3,040,298
8	Exceptional items-Share of profit of associate	149,929	365,368	163,213	-	-	-
9	Profit/(Loss) before tax	3,468,418	10,872,444	3,227,519	3,291,610	10,705,457	3,040,298
10	Current tax	1,002,844	1,996,713	615,333	987,483	1,958,092	608,060
11	Deferred tax	-	(232,454)	-	-	(231,826)	-
12	Profit/(loss) after tax and exceptional items	2,465,574	9,108,185	2,612,186	2,304,127	8,979,191	2,432,239
13.0	OTHER COMPREHENSIVE INCOME:						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	1,060	-	-	-	-
13.2	Fair value changes in available-for-sale financial assets	932,440	(178,378)	(977,928)	932,440	(178,221)	(963,329)
13.3	Revaluation Surplus on property, plant and Equipment	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	20,713	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	932,440	(156,605)	(977,928)	932,440	(178,221)	(963,329)
15	TOTAL COMPREHENSIVE INCOME	3,398,014	8,951,580	1,634,258	3,236,567	8,800,970	1,468,910
	Basic Earnings per share	0.59	2.17	0.62	0.55	2.14	0.58
	Diluted Earnings per share	0.50	1.86	0.62	0.47	1.84	0.58
	Dividend per share	-	0.50	-	-	0.50	-

III OTHER DISCLOSURES						
	31-Mar-14	31-Dec-13	31-Mar-13	31-Mar-14	31-Dec-13	31-Mar-13
	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000
	(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)
1 NON PERFORMING LOANS AND ADVANCES						
a) Gross non-performing loans and advances	6,847,035	6,103,463	6,680,550	6,847,035	6,103,463	6,680,550
Less	-	-	-	-	-	-
b) Interest in suspense	595,570	676,978	860,777	595,570	676,978	860,777
c) Total Non-performing loans and advances (a-b)	6,251,465	5,426,485	5,819,773	6,251,465	5,426,485	5,819,773
Less	-	-	-	-	-	-
d) Loan loss provisions	2,310,457	2,366,972	2,865,177	2,310,457	2,366,972	2,865,177
e) Net Non performing loans (c-d)	3,941,008	3,059,513	2,954,596	3,941,008	3,059,513	2,954,596
f) Discounted Value of Securities	3,941,008	3,059,513	2,954,596	3,941,008	3,059,513	2,954,596
g) Net NPLs Exposure (e-f)	-	-	-	-	-	-
2 Insider loans and advances	-	-	-	-	-	-
a) Directors, shareholders and associates	159,246	158,416	157,952	159,246	158,416	157,952
b) Employees	6,520,265	6,305,246	5,896,013	6,520,265	6,305,246	5,896,013
c) Total insider loans, advances and other facilities	6,679,511	6,463,662	6,053,965	6,679,511	6,463,662	6,053,965
3 Off-Balance Sheet Items						
a) Letters of credit, guarantees, acceptances	15,396,754	16,971,431	15,493,515	15,396,754	16,971,431	15,493,515
b) Forwards, swaps and options	3,884,100	3,865,180	5,235,306	3,884,100	3,865,180	5,235,306
c) Other contingent liabilities	-	-	-	-	-	-
d) Total contingent liabilities	19,280,854	20,836,611	20,728,822	19,280,854	20,836,611	20,728,822
Capital strength						
a) Core capital				33,270,287	32,122,842	28,297,237
b) Minimum Statutory Capital				1,000,000	1,000,000	1,000,000
c) Excess/(deficiency)				32,270,287	31,122,842	27,297,237
d) Supplementary capital				13,568,056	11,071,995	4,964,937
e) Total capital				46,838,342	43,194,837	33,262,174
f) Total risk weighted assets				228,220,826	205,151,872	194,595,764
g) Core capital/total deposit liabilities				17.5%	18.2%	17.3%
h) Minimum Statutory Ratio				10.5%	10.5%	10.5%
i) Excess/(deficiency)				7.0%	7.7%	6.8%
j) Core capital/total risk weighted assets				14.6%	15.7%	14.5%
k) Minimum Statutory Ratio				10.5%	10.5%	10.5%
l) Excess/(deficiency)(j-k)				4.1%	5.2%	4.0%
m) Total capital/total risk weighted assets				20.5%	21.1%	17.1%
n) Minimum Statutory Ratio				14.5%	14.5%	14.5%
o) Excess/(deficiency)(m-n)				6.0%	6.6%	2.6%
5 Liquidity						
a) Liquidity Ratio				32.7%	32.6%	35.9%
b) Minimum Statutory Ratio				20.0%	20.0%	20.0%
c) Excess/ (deficiency)(a-b)				12.7%	12.6%	15.9%

[These financial statements are extracts from the books of the institution.

Signed: S C Muchiri, EBS
Group Chairman

Signed: Dr.G. Muriuki,MBS
Group Managing Director & CEO

THE CO-OPERATIVE BANK OF KENYA LIMITED AND SUBSIDIARIES
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 31 MARCH 2014

	Share capital KShs'000	Share premium KShs'000	Share on reserve KShs'000	Statutory reserve KShs'000	Fair value reserve KShs'000	Foreign translation reserve KShs'000	Proposed dividends KShs'000	Retained earnings KShs'000	to equity holder of the parent KShs'000	Non- controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2014	4,190,844	3,588,262	429,704	718,026	(1,243,221)	1,060	2,095,422	26,439,284	36,219,381	364,609	36,583,989
Total comprehensive income	-	-	-	-	-	-	-	2,465,574	2,465,574	(10,877)	2,454,697
Profit for the year	-	-	(20,401)	-	919,954	(1,060)	-	-	898,493	-	898,493
Other comprehensive income	-	-	(2,268)	-	-	-	-	2,268	-	-	-
Realisation of revaluation surplus	-	-	-	-	-	-	-	96,074	96,074	-	96,074
Net movement in revenue grants	-	-	-	-	-	-	-	182	-	-	-
Transfers to (from) statutory reserve	-	-	-	(182)	-	-	-	-	-	-	-
Balance at 31 March 2014	4,190,844	3,588,262	407,035	717,844	(323,267)	-	2,095,422	29,003,382	39,679,523	353,732	40,033,255

CO-OPERATIVE BANK OF KENYA LIMITED**GROUP CASH FLOW STATEMENT**

	KShs'000 31-Mar-14	KShs'000 31-Dec-13
a. CASH FLOWS FOR THE PERIOD		
Cash generated from / (used in) operations	(11,338,887)	10,964,263
Taxation Paid	(99,681)	(2,639,081)
Net cash generated from / (used in) operating activities	(11,438,568)	8,325,182
b. CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	-	(2,204,949)
Purchase of intangible assets	1,535,790	(390,884)
Purchase of other investments	9,222,195	(12,115,051)
Proceeds from disposal of property and equipment	1,248,506	12,150
Net cash used in investing activities	12,006,491	(14,698,734)
c. CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	-	(2,095,422)
Loans received	2,496,061	5,787,690
Loans repaid	-	(212,079)
Net cash used in financing activities	2,496,061	3,480,189
INCREASE / (DECREASE) IN CASH AND CASH EQUIVALENTS	3,063,983	(2,893,363)
CASH AND CASH EQUIVALENTS AS AT 1ST JANUARY	20,617,976	23,591,154
Foreign Exchange Gain	(313,526)	(79,815)
CASH AND CASH EQUIVALENTS	23,368,433	20,617,976